

Interests of CB:

[GRIP MPT]

- Monetary: interest rate, inflation policy
- Banking regulation
- Implementation of government borrowing
- Performance + integrity of financial markets
- Intervention in currency markets
- Printing + minting notes + coins
- Taxation

Primary concern

1. Adjustment of banking sector liquidity
2. Control of money supply growth and short-term interest rates

[COLD]

Traditional tools of monetary policy:

1. open-market operations:
 - ↳ central bank buying + selling bills
2. set min liquid reserve ratios
 - ↳ expand money through lending [restrict money multiplier]
 - ↳ keep limited deposits as liquidity
3. set interest rate ceilings for bank deposits
 - ↳ restrict competition for investors money
4. Issue directives on type of lending to be undertaken
 - ↳ Restrict extent to which consumer credit available
 - ↳ Restrict mortgage lending

Investment categories vary according to:

- Tax position
- Appetite for risk
- Time horizon

CHAPTER 6: ECONOMIC INFLUENCES

Quantitative Easing [QE]

① Used to ↑ money supply
(knocks on effect to fractional reserve system)
direct increase in money supply leading to liquidity and stimulation of the economy by banks

CB creates money out of nothing (ex nihilo)

- create own accounts
- purchase financial assets in omo
- lowers yield on assets → credit = cheaper

FAILURE:

when CB is overly cautious

↳ fail to create loans from strengthened balance sheet

∴ E (economic stimulation) ≠ occurs

→ QE: • promote credit extension through liquidity
• purchase bonds + bills in omo → ↓ yield on assets → cheaper credit

Traditional < Omo
↓ Repo Rates

• limited by short-term int rate if already low

Main Investor classes:

- Household / Private individuals

Considerations: LAST TIME

- tax
- liabilities
- liquidity
- uncertainty in future income + outgo
- level of investment expertise
- stability of asset value
- attitude to risk
- investment + risk characteristics of available assets

- Financial Intermediaries

Advantages: [DEEP]

- Pool resources of small investors
 - ↳ can lend sums to large borrowers
 - ↳ enables access to investments small investors would otherwise not have
- diversification → lend to many borrowers
 - ↳ accept loans individual deem too risky
- Build expertise → conduct large volumes of business
- Economies of scale [OAM]
 - ↳ lower dealing costs
 - ↳ lower admin costs
 - ↳ lower management costs

- Foreign Investors

Preferences differ < currency movements
rules + regulations

- Businesses

Objectives of issuing securities:

1. Get best possible price
2. Market issues at lowest possible price
3. Issue securities that meet term, pattern + flexibility of funding

③ Investment banks help achieve objectives

Role of investment bank (IBMs)

- Advise issuing firms on prices they can charge
- Handle marketing of public issue
- Uphold reputation by checking + certifying quality of info offered
- Innovate design + packaging → stimulate demand

- Governments

Government policy: (INFLECT MP)

- Monetary policy
 - Money supply
 - level + structure of int rates
- Demand management
- Fiscal Policy
 - taxation
 - govern. expenditure
 - Public sector borrowing
- National debt management policy
 - manipulate outstanding stock of govern debt held by domestic private sector
 - level + structure of int rates
 - availability of liquid reserve assets in banking sector
- Exchange rate policy
 - domestic ER target
 - **OBJECTIVE** influence international trading + investment patterns

Relationship: currency ER and price in local currency of inputs = competitiveness

- Prices and income policy
 - wages
 - Price inflation

- Taxation
 - direct - income paid to FOP
 - indirect - levied on expenditure
- Competition policy
- Labour Policy
 - flexible labour + bargaining power
 - provided by govern. paid for by charger
- Government incentives for investment
 - NB for suppliers of investment goods companies taking investment decisions

OTHER FORMS:

MAIN FORMS:

Effects of Interest Rates

① Domestic Economy

① monetary policy $\Rightarrow$ effects of **HIGHER** interest rate

Personal	Business
via mortgage loan repay. • $\downarrow$ disposable income • discouraged expenditure • encourage $\uparrow$ savings	$\downarrow$ capital investment + economic growth prospects • $\downarrow$ opportunity cost of investment • $\uparrow$ cost of borrowing • $\downarrow$ anticipated economic activity + $\uparrow$ domestic ER = $\downarrow$ viability of capital investment

② Balance of Payments

① $\uparrow$ interest rate = $\uparrow$ foreign investments + repatriation of domestic funds held offshore = $\uparrow$ pressure on domestic ER

Current account	Financial (capital) accounts
Records: - trade transactions - current income flow - current transfers	Records: - investment transactions ② Effect: inverted expectations of domestic growth prospects

② Effect: alleviation of ER

(CUBE II)

Objectives of Economic Policy:

- Unemployment
- Inflation
- Balance of payments
- Economic growth
- Currency stability
- Infrastructure

Definitions:

Open Market Operations (OMO)	Central bank buying and selling bills
Fractional Reserve System	funds being received by banks and loaned to other customers
Forward Guidance	Tool used by CB, in absence of unforeseen events, how CB believes monetary policy will change in the future
Real assets	Assets used by business to generate profits
Public sector net cash requirements Fiscal Deficit	Excess of government expenditure over government income from taxation
Direct taxes	levied on income paid to factors of production
Indirect taxes	levied on expenditure
Oligopolistic Industry	Small # of competing firms each who believe their own actions will lead to form of ^{effective} non-negligible reaction from other firms
Demand management	Use of fiscal policy to offset external shocks to stabilise the level of economic activity and maintain full employment